

TOTAL KENYA LIMITED
SUMMARY OF AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2016

STATEMENT OF FINANCIAL POSITION

AS AT	31 Dec 2016 Kshs'000'	31 Dec 2015 Kshs'000'
ASSETS		
Non-current assets		
Property, plant and equipment, prepaid operating leases and intangible assets	9,969,948	9,854,679
Goodwill	416,679	416,679
Deferred tax asset	419,295	495,486
Total non-current assets	10,805,922	10,766,844
Current assets		
Inventories	12,080,556	10,017,977
Trade and other receivables	9,773,488	10,824,654
Cash and cash equivalents	3,525,406	2,615,560
Total current assets	25,379,450	23,458,191
TOTAL ASSETS	36,185,372	34,225,035
EQUITY AND LIABILITIES		
Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	7,406,999	5,657,455
Total equity	19,349,290	17,599,746
Non-current liabilities		
Trade and other payables	1,426,434	1,244,627
Current liabilities		
Trade and other payables	11,605,416	11,311,652
Short term borrowings	3,804,232	4,069,010
Total current liabilities	15,409,648	15,380,662
TOTAL EQUITY AND LIABILITIES	36,185,372	34,225,035

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED	31 Dec 2016 Kshs'000'	31 Dec 2015 Kshs'000'
Gross sales	110,582,420	138,027,279
Indirect taxes and duties	(21,521,496)	(17,773,285)
Net sales	89,060,924	120,253,994
Cost of sales	(81,209,334)	(113,263,567)
Gross profit	7,851,590	6,990,427
Other income	962,996	766,065
Operating expenses	(4,994,353)	(4,905,099)
Finance income	163,492	127,073
Finance costs	(26,834)	(39,428)
Net foreign exchange loss	(21,528)	(320,342)
Profit before tax	3,935,363	2,618,696
Tax charge	(1,701,071)	(1,003,693)
Profit for the year	2,234,292	1,615,003
Other comprehensive income, net of tax	-	-
Total comprehensive income for the year	2,234,292	1,615,003
Earnings per share (basic and diluted) (Kshs)	3.55	2.57

COMMENTARY

These results are extracted from the audited financial statements of Total Kenya Limited for the year ended 31 December 2016. The financial statements were audited by Ernst & Young LLP and have received an unqualified opinion.

The Company recorded a marked improvement in the financial performance for the year ended 31st December 2016. This has mainly been driven by the efforts and action plans set by management to grow the business in all segments, effective management of working capital requirements and costs, cash management and investments in safety and profitable business segments.

The drop in international oil prices led to the decrease of 26% in net sales, while gross margins increased by 12% from Kshs 6.99 billion in 2015 to Kshs 7.85 billion in 2016. The effective cost of sales management and stronger focus on more profitable business segments in 2016 led to better results of the Company.

Other income increased by Kshs 197 million as a result of growth in rental income and non-forecourt activities. As a key objective set by management, operating expenses were closely managed and were controlled at below inflation growth. Net finance income grew by Kshs 36 million resulting from effective cash management.

Due to the stability of the Kenya shilling against the US dollar, the forex loss was lower at Kshs 22 million compared to Kshs 320 million in 2015.

The Company recorded a profit before tax of Kshs 3.94 billion as compared to Kshs 2.62 billion realised in 2015. Profit after tax increased by 38% to Kshs 2.23 billion (2015: Kshs 1.62 billion).

The Company continues to maintain a very strong financial position with a growth in total assets of Kshs 1.96 billion.

Investments in long term assets totalling Kshs 1.54 billion were made in the year, in line with the strategy to develop the business in the core activities and to continue to tap on business opportunities, altogether with full compliance with our safety and environmental requirements and standards.

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED	31 Dec 2016 Kshs'000'	31 Dec 2015 Kshs'000'
NET CASH GENERATED FROM OPERATING ACTIVITIES	3,600,991	7,827,491
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment, prepaid operating leases and intangible assets	(1,536,790)	(1,759,238)
Proceeds on disposal of property, plant and equipment	65,813	246,535
Interest received	163,492	127,073
Net cash used in investing activities	(1,307,485)	(1,385,630)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(26,834)	(39,428)
Dividends paid	(484,748)	(440,680)
Net cash used in financing activities	(511,582)	(480,108)
Net increase in cash and cash equivalents	1,781,924	5,961,753
CASH AND CASH EQUIVALENTS		
As at 1 January	(1,453,450)	(6,841,453)
Effect of exchange rate changes on cash and cash equivalents	(607,300)	(573,750)
As at 31 December	(278,826)	(1,453,450)

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2016	Share Capital Kshs'000'	Share Premium Kshs'000'	Retained Earnings Kshs'000'	Total Equity Kshs'000'
As at 1 January 2015	9,974,771	1,967,520	4,483,132	16,425,423
Dividends declared - 2014	-	-	(440,680)	(440,680)
Profit for the year	-	-	1,615,003	1,615,003
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	1,615,003	1,615,003
As at 31 December 2015	9,974,771	1,967,520	5,657,455	17,599,746
As at 1 January 2016	9,974,771	1,967,520	5,657,455	17,599,746
Dividends declared - 2015	-	-	(484,748)	(484,748)
Profit for the year	-	-	2,234,292	2,234,292
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	2,234,292	2,234,292
As at 31 December 2016	9,974,771	1,967,520	7,406,999	19,349,290

OUTLOOK

The macro-economic environment in 2016 remained quite stable as compared to the volatile 2015 year. Both petroleum prices and the Kenyan shilling contributed to this stable macro-economic environment. The country continues to invest massively in the areas of infrastructure and especially the new standard gauge railway and the 20 inch oil pipeline that will be commissioned in 2017. These two projects among others are expected to ease logistical challenges and spur economic growth.

With the Kenyan economy growth expected at between 5% and 6% in 2017, the Board is confident that the Company is well placed to take advantage of business opportunities owing to sustained investments, experienced management and staff and our wide network to profitably supply all sectors of the economy.

PROPOSED DIVIDEND

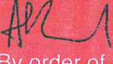
In view of continued improvement in our financial performance and the need to further invest in safety and business growth, the Directors are recommending the payment of a first and final dividend of Kshs 1.06 per share for the year ended 31st December 2016 compared to Kshs 0.77 per share in 2015. This proposed payout represents an increase of 38% as compared to 2015 and is subject to the shareholders' approval at the next Annual General Meeting. This dividend will be payable to shareholders on the shareholders' register at the close of business on 16th June 2017, subject to withholding tax as applicable.

ANNUAL GENERAL MEETING

The 63rd Annual General Meeting of Total Kenya Limited will be held on 16th June 2017.

CLOSURE OF THE SHARE REGISTER

Subject to shareholders' approval at the 63rd Annual General Meeting, the share register will be closed on 16th June 2017 for the purpose of dividend calculation.


By order of the Board
Anne-Solange RENOUARD
Managing Director
28th March 2017







TOTAL KENYA LIMITED

Nairobi, March 28, 2017

Total Kenya Records Kshs 3.9 Billion Profit Before Tax

Key Highlights

- Profit before tax increases from Kshs 2.62 billion in 2015 to Kshs 3.94 billion in 2016.
- Total assets increases from Kshs 34.22 billion in 2015 to Kshs 36.18 billion in 2016.
- Investments in long-term assets of Kshs 1.54 billion.
- Directors recommend the payment of a first and final dividend of Kshs 1.06 per share for the year compared to Kshs 0.77 per share paid in 2015.

Total Kenya has announced an increase of 50.3 percent in pre-tax profit of Kshs 3.94 billion for the year ended December 31, 2016.

The rise in pre-tax profit from Kshs 2.62 billion reported at the end of 2015 has been driven by prudent cost management and sustained operational efficiency.

"The improved financial performance has mainly been driven by action plans set by management to grow the business in all segments, effective management of working capital requirements, costs, cash, and investments in safety and profitable business ventures," said Total Kenya Managing Director Anne-Solange Renouard.

The listed firm on the Nairobi Securities Exchange said its total assets increased from Kshs 34.22 billion in 2015 to Kshs 36.18 billion last year.

Profit after tax increased by 38 percent from Kshs 1.62 billion in 2015 to Kshs 2.23 billion.

The drop in international oil prices led to a decrease of 26 percent in net sales. . The effective cost of sales management and stronger focus on more profitable business segments in 2016 led to increase in Gross margins by 12 percent from Kshs 6.99 billion in 2015 to Kshs 7.85 billion last year.

The leading oil and gas marketer in the country said other income increased by Kshs 197 million as a result of growth in rental income and non-forecourt activities.

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“As a key objective set by management, operating expenses were closely managed and controlled at below inflation growth. Net finance income grew by Kshs 36 million resulting effective cash management,” Anne-Solange Renouard said at her office at Regal Plaza along L Road.

Due to the stability of the Kenya shilling against the US dollar, the forex loss was lower at Ks million compared to Kshs 320 million in 2015.

Investments in long-term assets totalling to Kshs 1.54 billion were made in the year, in line with strategy to develop the business in the core activities and to continue to tap on business opportunities. This was done in full compliance with the safety and environmental requirement standards.

She said the macro-economic environment remained quite stable last year compared to the year 2015 with both petroleum prices and the Kenyan shilling contributing to the stability.

The Directors have recommended the payment of a first and final dividend of Kshs 1.06 per share for the year compared to Kshs 0.77 per share paid in 2015. This proposed payout represents an increase of 38 percent as compared to 2015 and is subject to the shareholders approval at the 63rd Annual General Meeting to be held on June 16, this year.

With Kenya’s economic growth expected at around 6 percent in 2017, the Board is confident the Company is well placed to take advantage of business opportunities owing to sustained investments, skilled workforce and its wide network footprint.

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About Total Kenya Limited

Total Kenya Limited is part of the TOTAL Group, the fourth largest Oil and Gas Company in the world operating in over 100 countries. The group is involved in all aspects of the oil industry from exploration and production to refining and marketing and it is also strong in the chemicals market.

Total has been operating in Kenya for more than 60 years and is a key part of Kenya’s essential service infrastructure. The Company is a market leader in the petroleum sector. Its facilities include more than 1,000 service stations, two joint fuel depots, two liquefied petroleum gas (LPG) filling plants, 1 lubricants blending plant, three lubricant warehouse and six aviation depots.

In 2016, Total Kenya introduced a new range of automobile fuels into the Kenyan market - **TOTAL EXCELLIUM PETROL AND TOTAL EXCELLIUM DIESEL** – the additivised fuels that clean the engine kilometer-after-kilometer and provides a long-lasting protection, all these at no additional cost to the customer.

Total Kenya’s shares are quoted and traded on the Nairobi Securities Exchange.

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